

AVERAGEIF Function in Excel

1. What is AVERAGEIF?

The AVERAGEIF function calculates the average of only those cells that meet one condition. It solves the problem of finding the average for one group inside a larger list, such as the average salary of the Sales department or the average score of students who passed. A Data Analyst uses it to get group-level averages without filtering or copying the data.

2. Syntax

`=AVERAGEIF(range, criteria, [average_range])`

Argument	Required?	What it accepts
range	Required	The cells Excel checks against the condition (for example B2:B9)
criteria	Required	The condition to match: text ("Sales"), a number (100), a comparison (">=85"), or a cell reference
average_range	Optional	The cells that are actually averaged (for example C2:C9). If left out, Excel averages range itself.

Use the third argument when the condition is in one column and the numbers to average are in another. If both are the same column, you can leave it out: `=AVERAGEIF(C2:C8, ">=85")`.

3. Simple Example

	A	B	C
1	Employee ID	Department	Salary
2	E001	IT	4800
3	E002	Sales	5200
4	E003	Marketing	4600
5	E004	Sales	6100
6	E005	HR	4300
7	E006	Sales	4700
8	E007	IT	5500
9	E008	Sales	5300
10	Average	Sales	5325

Formula: `=AVERAGEIF(B2:B9, "Sales", C2:C9)`
Excel checks B2:B9 for "Sales" (rows 3, 5, 7, 9), takes the matching salaries from C2:C9 (5200, 6100, 4700, 5300), adds them (21300), and divides by 4. **Result: 5325**

5. When to Use It

- Calculate the average salary of one department
- Calculate average sales for a single region or product
- Calculate the average score of students who reached a pass mark
- Calculate average order value for orders above a certain amount
- Calculate average delivery time or expense for one category

6. Important Things to Remember

- AVERAGEIF works with **one** condition only. For two or more conditions, use AVERAGEIFS.
- Text and comparison criteria go inside quotation marks: "Sales", ">100", "<>HR". Matching is not case-sensitive.
- range and average_range must be the same size, because Excel matches them row by row.
- Blank cells and text in average_range are ignored. If average_range is left out, range must contain the numbers.
- If no cell meets the condition, AVERAGEIF returns #DIV/0!.
- Wildcards work with text: "S*" matches any text starting with S. To use a cell value in a comparison, join it: ">="&E1.

7. Common Mistakes

Mistake: Forgetting quotation marks around text or comparison criteria, such as Sales or >100. **Fix:** Write "Sales" and ">100".

Mistake: Using ranges of different sizes, such as B2:B9 with C2:C10. **Fix:** Select the same rows in both ranges.

Mistake: Swapping the order, putting the numbers first and the condition column last. **Fix:** Remember the order: condition range, condition, then numbers to average.

Mistake: Text that does not match exactly, such as "Sales " with an extra space or a spelling difference. **Fix:** Clean the data first, or check the unique values in the column.

8. Data Analyst Tip

Type the criteria in a cell and refer to it instead of typing it inside the formula. For example, put "Sales" in E2 and use `=AVERAGEIF($B$2:$B$9, E2, $C$2:$C$9)`. Then list every department in column E and copy the formula down to build a full average-by-department summary in seconds.

4. Another Example

Average delivery days for orders worth more than 100:

	A	B	C
1	Order	Order Value	Delivery Days
2	O1	250	3
3	O2	80	5
4	O3	120	2
5	O4	60	4
6	O5	300	4
7	O6	90	6
8	Average	>100	3

Formula: `=AVERAGEIF(B2:B7, ">100", C2:C7)`
Excel finds the orders above 100 (O1, O3, O5), takes their delivery days (3, 2, 4), adds them (9), and divides by 3. Orders worth 80, 60 and 90 are left out. **Result: 3**